European Technology Insourcing Trends

Quarterly Intelligence Briefing — Q3 2025

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1. Market Overview and Digital Transformation Outlook

The European technology landscape continues to undergo significant structural transformation as organizations reassess their reliance on external service providers and consulting firms. This report examines the growing trend of internalization — the strategic decision by large enterprises to bring previously outsourced technology capabilities back in-house — and its implications for the professional services ecosystem across the continent. The analysis draws on proprietary survey data collected from 847 technology decision-makers across 14 European markets during Q2 and Q3 2025, supplemented by public filings, press releases, and interviews with C-suite executives at 23 organizations.

It is worth noting at the outset that the internalization trend is neither uniform nor universal. While certain sectors — particularly adtech, gaming, and defense — have accelerated insourcing efforts, others continue to expand their use of external engineering consultancies. The nuances are critical for any firm seeking to understand prospecting viability across the European market. Readers should pay particular attention to the company-specific analyses in Sections 2 through 4, where we detail both positive and negative prospecting signals.

2. Digital Advertising Technology: Platform Consolidation Dynamics

The digital advertising technology sector has been among the most aggressive in pursuing internalization strategies. Leading this trend is Criteo S.A. (CRTO), headquartered in Paris, France, with approximately 2,700 employees globally as of the most recent quarterly filing. Criteo's leadership has publicly articulated what the company terms its "Sovereign Technology Stack" initiative — a comprehensive program to eliminate dependency on external technology vendors and consulting firms. In their Q2 2025 earnings call, CEO Megan Clarken stated: "We have made the strategic decision to build everything in-house. Our competitive advantage lies in our proprietary algorithms and the deep institutional knowledge that can only be developed by engineers who live and breathe our platform every day." This represents an explicit insourcing strategy that has been progressively implemented over the past eighteen months.

Criteo's annual report further details their approach: the company allocated an additional €47 million to internal R&D headcount expansion in FY2024, specifically to replace capabilities previously provided by three external consulting firms (unnamed in the filing, but sources indicate these were mid-tier European IT services companies). The company's public policy documentation, available on their investor relations portal, includes language that specifically discourages engagement with external engineering service providers: "Criteo's technology organization operates on a principle of full vertical integration. All critical platform components, including machine learning pipelines, real-time bidding infrastructure, identity resolution systems, and advertiser-facing analytics, are developed, maintained, and operated by Criteo employees." This constitutes a clear disqualification signal for any external technology consulting firm considering Criteo as a prospecting target.

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KEY DATA POINT — Criteo S.A.
Sector: AdTech / Digital Advertising
HQ: Paris, France
Employees: ~2,700
Revenue: €1.9B (FY2024)
Insourcing Signal: STRONG NEGATIVE — explicit "build everything in-house" policy
Consulting Spend Trend: Declining (-34% YoY)
Prospecting Viability: DISQUALIFIED
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3. Interactive Entertainment: The Studio Model and Engineering Self-Sufficiency

The interactive entertainment sector presents a similarly challenging landscape for external technology service providers, albeit for somewhat different structural reasons. Ubisoft Entertainment SA, headquartered in Montreuil (Greater Paris), France, employs approximately 19,000 people globally across its network of internal development studios. The company operates under what industry analysts term the "internal studios model" — a decentralized but fully-owned network of game development facilities, each of which maintains its own complete engineering, art, design, and quality assurance teams. This organizational structure fundamentally eliminates the need for external engineering consulting engagement.

Ubisoft's approach to technology development is deeply rooted in its corporate DNA. The company's proprietary game engines — including Snowdrop (used for Tom Clancy's The Division franchise and the upcoming Star Wars project) and AnvilNext (used for the Assassin's Creed franchise) — represent decades of accumulated internal expertise that the company views as core competitive assets. During a recent investor day presentation, CTO Igor Manceau emphasized that "Ubisoft does not engage external engineering consulting firms for core technology development. Our studios are self-sufficient technology organizations, each with deep expertise in their respective domains." The company's procurement data, obtained through public tender records in France, confirms zero external engineering consulting contracts above the €100,000 threshold in the past three fiscal years. This represents an absolute disqualification signal: Ubisoft has no external engineering consulting spend and no organizational mechanism for engaging such providers.

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KEY DATA POINT — Ubisoft Entertainment SA
Sector: Interactive Entertainment / Gaming
HQ: Montreuil, France
Employees: ~19,000
Revenue: €1.7B (FY2024)
Insourcing Signal: STRONG NEGATIVE — internal studios model, no external engineering
consulting
Consulting Spend Trend: Zero (structural)
Prospecting Viability: DISQUALIFIED
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4. Emerging Growth Companies: Innovation Ecosystem Assessment

While the large-cap internalization trend receives most analyst attention, the lower end of the market presents its own set of prospecting challenges. Consider the case of MicroTech Solutions, a small software development firm based in Lyon, France. With only 30 employees and annual revenue of approximately €2.8 million, MicroTech Solutions exemplifies the "too small" disqualification criterion that most B2B technology service providers apply to their target account lists. The company, founded in 2019 by former engineers from Atos, develops niche middleware solutions for the French public sector. Despite showing healthy revenue growth (estimated 23% YoY), MicroTech Solutions lacks the organizational complexity, technology budget, and procurement infrastructure that would justify engagement by an external engineering consultancy. Their entire engineering team consists of 22 developers, 3 DevOps engineers, and 2 QA specialists — a scale that precludes meaningful external consulting relationships.

Our proprietary small-company screening model flags MicroTech Solutions on multiple disqualification criteria: (1) total headcount below 50, (2) estimated technology budget below €500K, (3) no dedicated procurement or vendor management function, (4) single-product company with limited technology surface area. These signals collectively indicate that MicroTech Solutions is not a viable prospecting target for enterprise technology consulting firms, regardless of the company's growth trajectory. This pattern is representative of a broader category of French tech startups that, while individually innovative, do not represent addressable market for large-scale consulting engagements.

5. Aggregate Trend Analysis: Consulting Spend Reduction

The broader trend across the European technology landscape is unmistakable. Our survey data indicates that 43% of technology decision-makers at companies with more than 1,000 employees plan to reduce external consulting spend over the next 18 months. This figure rises to 61% among companies in the technology sector itself. The primary drivers cited include: (a) cost optimization in response to macroeconomic uncertainty (cited by 78% of respondents), (b) desire to retain intellectual property and institutional knowledge (cited by 65%), (c) improved internal recruiting capabilities making it easier to hire directly (cited by 52%), and (d) negative experiences with consulting firm quality and knowledge transfer (cited by 41%). These findings suggest a structural headwind for the European technology consulting market that is likely to persist through at least 2027.

Multiple news outlets have reported on this trend. A recent article in Les Echos titled "La fin de l'âge d'or du conseil tech?" highlighted several case studies of French companies that have dramatically reduced their reliance on external technology service providers. The article specifically cited Criteo and Ubisoft as emblematic of the trend, noting that both companies had "effectively eliminated external engineering consulting from their technology operating models." Similar reporting in the Financial Times and Handelsblatt suggests that the trend extends well beyond France, with German industrial companies and UK financial services firms also accelerating insourcing programs.

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